

**MODEL TEST PAPER 8**  
**INTERMEDIATE COURSE: GROUP - I**  
**PAPER – 1 : ADVANCED ACCOUNTING**

**Time Allowed – 3 Hours**

**Maximum Marks – 100**

1. The question paper comprises two parts, Part I and Part II.
2. Part I comprises Case Scenario based Multiple Choice Questions (MCQs)
3. Part II comprises questions which require descriptive type answers.

**PART I – Case Scenario based MCQs (30 Marks)**

**Part I is compulsory.**

**Case Scenario 1**

Mr. Vikram took a loan of ₹ 6,00,000 carrying interest @ 10% p.a. on 1<sup>st</sup> August, 2023 to purchase raw material. He purchased 4000 units of raw material @ 125 per unit. Replacement cost of raw material as on 31 March, 2024 is 100 per unit. Labour charges and variable overheads incurred are ₹ 1,00,000 to produce 1000 units of finished goods.

1000 units of Finished goods are produced with raw material (for every unit of finished goods produced, 2 units of raw material are required). Net realizable value of finished good is ₹ 300 per unit. All the finished goods produced are lying in stock as on 31 March, 2024.

There is no opening stock of raw material and finished goods.

Mr. Vikram used 1500 units of raw material to construct an Asset (Qualifying Asset). Labour and other overhead charges incurred on construction of asset are ₹ 90,000. Mr. Vikram also paid ₹15,000 to install the asset at Factory premises. Mr. Vikram used Balance of loan proceeds of ₹ 1,00,000 to invest in Equity Shares of P. Ltd. He purchased 9,000 Equity shares (Face Value ₹ 10 each) for ₹ 1,00,000 on 25th March, 2024.

The P. Ltd declared and paid dividend @ 20% on 30th March for the year 2023-24.

Based on the information given in above Case Scenario, answer the following Question No. 1-4:

- (i) What would be the value of closing stock of Raw Material X and Finished Goods as on 31st March 2024?
  - (a) Closing Stock of Raw Material X ₹ 50,000 and closing stock of Finished Goods ₹ 3,50,000
  - (b) Closing Stock of Raw Material X ₹ 50,000 and closing stock of Finished Goods ₹ 3,00,000
  - (c) Closing Stock of Raw Material X ₹ 62,500 and closing stock of Finished Goods ₹ 3,50,000
  - (d) Closing Stock of Raw Material X ₹ 62,500 and closing stock of Finished Goods ₹ 3,00,000

- (ii) Cost of Self Constructed Asset as per AS 10 will be ?
- ₹ 2,92,500
  - ₹ 2,77,500
  - ₹ 3,05,000
  - ₹ 2,90,000
- (iii) As per AS 16 what will be the amount of interest to be capitalized and amount of interest to be charged to Profit & Loss A/c ?
- ₹ 12,500 interest to be capitalised and Profit & Loss A/c. ₹ 27,500 interest to be charged to Profit & Loss A/c
  - ₹ 12,500 interest to be capitalised and ₹ 20,833 interest to be charged to Profit & Loss A/c.
  - ₹ 19,167 interest to be capitalised and ₹ 20,833 interest to be charged to Profit & Loss A/c.
  - Whole of ₹40,000 interest to be charged to Profit & Loss A/c.
- (iv) What is the carrying amount of investment as on 31<sup>st</sup> March, 2024 as per AS 13 and suggest the treatment of dividend received from P. Ltd.?
- Carrying amount of Investment as on 31<sup>st</sup> March, 2024 is ₹ 72,000 and the dividend is deducted from the nominal value of investment.
  - Carrying amount of Investment as on 31<sup>st</sup> March, 2024 is ₹90,000 and the dividend is credited to Profit & Loss A/c.
  - Carrying amount of Investment as on 31<sup>st</sup> March, 2024 is ₹ 1,00,000 and the dividend is credited to Profit & Loss A/c.
  - Carrying amount of Investment as on 31<sup>st</sup> March, 2024 is 82,000 and the dividend is deducted from the cost of investment.

## Case Scenario 2

Kay Ltd. sold goods of ₹ 22,00,000 to Mr. Ravi Kumar on 1<sup>st</sup> February, 2024 but at the request of the buyer, these goods were delivered on 10th April 2024.

Kay Ltd. also sold ₹ 2,00,000 goods on approval basis on 1<sup>st</sup> January, 2024 to Sheetal Enterprises. The period of approvals 3 months after which they were considered sold. Buyer sent disapproval for 25% of goods and approval for 50% of goods till 31 March, 2024.

Mr. Ravi Kumar has commenced legal action against Kay Ltd. for supply of faulty goods to claim damages. The lawyers of Kay Ltd. have advised that it is not remote yet that resources may be required to settle the claim. Legal cost to be incurred irrespective of the outcome of the case is ₹ 45,000. Settlement amount if the claim is required to be paid ₹ 5,00,000,

Sheetal Enterprises, a trade receivable of Kay Ltd. suffered a heavy loss due to an earthquake that occurred on 30th March, 2024. The loss was not covered by any insurance policy. In April, 2024, Sheetal Enterprises became bankrupt. The Balance due from Sheetal Enterprises as on 31 March, 2024 is ₹ 75,000.

Kay Ltd. makes provision for doubtful debts @ 5%.

Based on the information given in above Case Scenario, answer the following Question

- (i) What is the amount to be recognized as Revenue as per AS 9 in the books of Kay Ltd. as on 31 March, 2024?
- (a) ₹ 23,50,000
  - (b) ₹ 1,50,000
  - (c) ₹ 23,00,000
  - (d) ₹ 1,00,000
- (ii) What will be the treatment of legal cost and claim for legal action commenced by Mr. Ravi Kumar in the Books of Kay Ltd. as on 31 March, 2024 as per AS 29?
- (a) Create a Provision for ₹ 5,45,000
  - (b) Create a Provision for ₹ 5,00,000
  - (c) Create a Provision for ₹ 45,000 and make a disclosure of contingent liability of ₹ 5,00,000
  - (d) Make a disclosure of contingent liability of ₹ 5,45,000
- (iii) What is the treatment of insolvency of Sheetal Enterprises in the Books of Kay Ltd. as on 31<sup>st</sup> March, 2024 as per AS 4?
- (a) An Adjusting Event, full provision of ₹ 75,000 should be made in the Final Accounts for the year ended 31 March, 2024.
  - (b) An Adjusting Event, provision of ₹ 3,750 should be made in the Final Accounts for the year ended 31 March, 2024.
  - (c) A Non-adjusting event, no provision is required to be made as Sheetal Enterprises became bankrupt in April, 2024.
  - (d) A Non-adjusting event, only disclosure is required in the Final Accounts for the year ended 31<sup>st</sup> March, 2024.
- 3 P Ltd. has 60% voting right in Q Ltd. Q Ltd. has 20% voting right in R Ltd. Also, P Ltd. directly enjoys voting right of 14% in R Ltd. R Ltd. is a Listed Company and regularly supplies goods to P Ltd. The Management of R Ltd. has not disclosed its relationship with P Ltd. While preparing Financial Statements of P Ltd., which entities would you disclose as related parties with reference to AS-18?
- (a) Q Ltd.
  - (b) R Ltd.
  - (c) Q Ltd. and R Ltd.
  - (d) Neither of Q Ltd. or R Ltd.
- 4 A Machinery was given on 3 years lease by a dealer of the machinery for equal annual lease rentals to yield 20% profit margin on cost of the machinery, which is Rs.3,00,000. Economic life of the machinery is 5 years, and estimated output from the machinery in 5 years is as follows:

|          |               |
|----------|---------------|
| Year I   | 50,000 units  |
| Year II  | 60,000 units  |
| Year III | 40,000 units  |
| Year IV  | 65,000 units  |
| Year V   | 85,000 units. |

Compute Annual Lease Rent.

- (a) ₹ 30,000  
 (b) ₹ 60,000  
 (c) ₹ 50,000  
 (d) ₹ 36,000
- 5 A Ltd. had 1,50,000 shares of common stock outstanding on 1 April, 2023. Additional 50,000 shares were issued on 1 November, 2023 and 32,000 shares were bought back on 1 February, 2024. Calculate the weighted average number of shares outstanding at the year ended on 31 March, 2024 is:
- (a) 1,34,500 shares  
 (b) 1,65,500 shares  
 (c) 1,76,167 shares  
 (d) 1,23,833 shares

### Case Scenario 3

6. Jay Ltd. submits the following data extracted from the Final Accounts as on 31 March, 2023:

|                                                            |          |
|------------------------------------------------------------|----------|
| Equity Share Capital<br>Equity shares of ₹ 10 each         | 50,000   |
| Profit & Loss (Dr. balance)                                | (50,000) |
| 9% Debentures                                              | 2,00,000 |
| Loan from Bank                                             | 3,00,000 |
| Advance given to suppliers of goods                        | 45,000   |
| Provision for tax                                          | 14,000   |
| Plant & Machinery                                          | 4,50,000 |
| Furniture & Fixtures                                       | 85,000   |
| Investment in Star Ltd.<br>10,000 equity shares of 10 each | 1,25,000 |
| Sundry Debtors                                             | 70,000   |
| Cash & Bank Balance                                        | 65,500   |

Additional information given by Jay Ltd.:

On 31 March, 2023 Jay Ltd. decided to reconstruct the company for which necessary resolution was passed. Accordingly, it was decided that:

- (a) 9% Debentures to be settled in full by issuing them 15,000 Equity shares of ₹ 10 each.
- (b) Equity shareholders will give up 40% of their capital in exchange for allotment of new 11% Debentures of ₹ 1,00,000.
- (c) Balance of Profit & Loss to be written off.
- (d) Equity shares issued for ₹ 1,00,000.

In addition to above, following information was also presented by Jay Ltd. on 1<sup>st</sup> April, 2023:

- (a) Interest is received on advances given to suppliers of goods ₹ 3,000.
- (b) Taxation liability is settled at ₹ 14,000.
- (c) A debtor of ₹ 40,000 is insolvent, only 40% of his dues are recovered from his estate.
- (d) Dividend is received on Investment in Star Ltd. ₹ 1 per equity share invested.
- (e) Part of Plant and Machinery is sold at a loss of ₹ 3,000 (book value ₹ 15,000)

Based on the information given in above Case Scenario, answer the following Question :

- (i) The amount of Cash Flow from operating activity is:
  - (a) ₹ 2,000
  - (b) ₹ 5,000
  - (c) ₹ 12,000
  - (d) ₹ 15,000
- (ii) The amount of Cash Flow from investing Activity is
  - (a) ₹ 28,000
  - (b) ₹ 25,000
  - (c) ₹ 15,000
  - (d) ₹ 22,000
- (iii). What is the amount of closing Cash and Cash equivalents as on 1 April, 2023 ?
  - (a) ₹ 1,92,500
  - (b) ₹ 92,500
  - (c) ₹ 1,27,000
  - (d) ₹ 1,98,500

- (iv) The Balance of Equity Share Capital after internal reconstruction is :
- ₹ 6,50,000
  - ₹ 4,50,000
  - ₹ 5,50,000
  - ₹ 7,50,000
7. "Fixed Asset held for sale" will be classified in the Balance Sheet as per Schedule III of the Companies Act as:
- Deferred Tax Assets
  - Current Asset
  - Non-Current Asset
  - Long term Investments

## Part II- Descriptive questions (70 marks)

Question No. 1 is compulsory.

Answer any **four** questions from the remaining **five** questions.

Wherever necessary, suitable assumptions may be made and indicated in answer by the candidates.

Working Notes should form part of the answer.

1. (a) In the following cases, record Journal Entries for amortization in the books of Huge Ltd. for the year ended 31<sup>st</sup> March, 2024 with reference to AS-26:
- The company had acquired Patent Rights for ₹ 340 lakhs on 01.04.2022. The estimated product life is 4 years. Amortization was decided in the ratio of estimated future cash flows which are as under:
 

1st Year ₹ 140 Lakhs  
2nd Year ₹ 350 Lakhs  
3rd Year ₹ 280 Lakhs  
4th Year ₹ 420 Lakhs
  - The company had developed know-how by incurring expenditure of ₹ 80 lakhs. The know-how has been used by the company since 01.04.2018. Its useful life is 8 years from the year of commencement of its use. The company has not amortised the asset until 31.03.2024.
- (b) Pandora Ltd. has given the following details in respect of employee benefit pension plan:

| Particulars                                    | Amount ₹ |
|------------------------------------------------|----------|
| The fair value of plan assets as on 01-04-2023 | 5,00,000 |
| The benefits paid out on 30-11-2023            | 63,000   |

|                                                |          |
|------------------------------------------------|----------|
| Inward contributions received on 30-09-2023    | 1,42,000 |
| The fair value of plan assets as on 31-03-2024 | 7,50,000 |

On 01.04.2023, the company made following estimates, based on its market studies and prevailing prices :

| Particulars                                                         | %     |
|---------------------------------------------------------------------|-------|
| Interest and dividend income (after tax) payable by fund            | 10.50 |
| Realised gains on plan assets (after tax)                           | 2.00  |
| Fund administrative costs                                           | -2.00 |
| Expected rate of annual return<br>(Interest is compounded annually) | 10.50 |

You are required to find the expected and actual returns on plan assets as on 31.03.2024 as per AS 15.

- (c) Delta Ltd. is working on different projects those are likely to be completed within 3 years period. It recognizes revenue from these contracts on Percentage of Completion Method for Financial Statements for the years ending 2021, 2022 and 2023 for ₹ 34 Lakhs, ₹ 50 Lakhs and ₹ 65 Lakhs respectively.

However, for Income Tax purpose, it has adopted the Completed Contract Method under which it has recognized revenue of ₹ 30 Lakhs, ₹ 52 Lakhs and ₹ 67 Lakhs for the years ending 2021, 2022 and 2023 respectively.

Income Tax rate is 30%.

Compute the amount of Deferred Tax Asset / Liability and Total Tax Expenses for the years ending 31<sup>st</sup> March 2021, 2022 and 2023.

**(4+5+5=14 Marks)**

2. The following is the Trial Balance of Shivam Ltd as on 31<sup>st</sup> March, 2024 :

| Particulars               | Dr.<br>(₹ 000) | Particulars                 | Cr.<br>(₹ 000) |
|---------------------------|----------------|-----------------------------|----------------|
| Land at Cost              | 148            | Equity Share of ₹ 10 each   | 200            |
| Plant & Machinery at Cost | 520            | 10% Debenture of ₹ 100 each | 135            |
| Debtors                   | 65             | General Reserve             | 90             |
| Closing Stock             | 58             | Profit & Loss A/c           | 48             |
| Bank                      | 14             | Security Premium            | 27             |
| Adjusted Purchases        | 226            | Sales                       | 473            |
| Factory Expenses          | 40             | Creditors                   | 35             |
| Administration Expenses   | 22             | Provision for Depreciation  | 116            |
| Selling Expenses          | 20             | Suspense A/c                | 3              |
| Debenture Interest        | 14             |                             |                |
| Total                     | 1,127          | Total                       | 1,127          |

Additional Information:

- On 31<sup>st</sup> March, the Company issued Bonus Shares to the Shareholders on 1 : 2 basis (one equity share issued as bonus for every 2 equity shares held). No entry relating to this has yet been made.
- The Authorized Share Capital of the Company is 35,000 Equity Shares of ₹ 10 each.
- The Company, on the advice of an independent valuer, revalued the Land at ₹ 2,45,000.
- The Directors declared a Dividend of 10% on 5<sup>th</sup> April, 2024 and also transferred profit @ 10% to General Reserve.
- Suspense Account of ₹ 3,000 represents cash received for the Sale of some Machinery on the 1<sup>st</sup> day of the financial year 2023-24. Cost of this Machinery was ₹ 10,000 and Accumulated Depreciation thereon being ₹ 8,000.
- Depreciation is to be provided on Plant & Machinery at 10% on Cost.
- Provision for Income tax is required @ 30%.

You are required to prepare Shivam Ltd.'s Profit and Loss A/c for the year ended 31<sup>st</sup> March, 2024 and Balance Sheet as at that date as per the provisions of the Companies Act, 2013 after considering the above information. Ignore previous year figures. **(14 Marks)**

3. (a) On the basis of the following data, prepare Cash Flow Statement as per AS-3 for the year ended 31<sup>st</sup> March, 2024:
- Total Sales for the year were ₹ 380 lakhs out of which Cash Sales amounted to ₹ 262 Lakhs.
  - Receipts from credit customers during the year, total ₹ 134 lakhs.
  - Total Purchases for the year amounted to ₹ 220 lakhs, out of which 80% were credit purchases.
  - Opening balance in creditors ₹ 84 lakhs and Closing balance in creditors ₹ 92 lakhs.
  - Suppliers of other consumables and services were paid ₹ 19 lakhs in cash.
  - Employees of the enterprise were paid ₹ 20 lakhs in cash.
  - Fully-paid preference shares of the face value of ₹ 32 lakhs were redeemed.
  - Issued equity shares of the face value of ₹ 20 lakhs at a premium of 20%.
  - Debenture of ₹ 20 lakhs at premium of 10% were redeemed by issuing equity shares in lieu of their claims.
  - ₹ 26 lakhs were paid by way of Income Tax.
  - A new machinery costing ₹ 20 lakhs was purchased in a part



exchange of an old machinery. The book value of the old machinery was ₹ 13 lakhs, but the vendor agreed to take over the old machinery at a higher value of ₹ 15 lakhs. The balance due to vendor was paid in cash.

- Dividend ₹ 15 lakhs (including dividend distribution tax)\* of ₹ 2.7 lakhs was also paid on 30<sup>th</sup> March, 2024.
- Debenture interest ₹ 3 lakhs was paid.
- During the year ₹ 8 lakhs rent was received from property held as investment.
- ₹ 0.50 lakh interest was earned on the advance payments to suppliers of Goods.
- Cash and cash equivalents on 1<sup>st</sup> April 2023, ₹ 2 lakhs.

**(7 Marks)**

(b) Aerodots Ltd. has the following capital structure as on 31.03.2024 :

| Particulars                                      | Amount<br>(₹ in thousands) |
|--------------------------------------------------|----------------------------|
| Equity Share Capital (shares of ₹ 10 each)       | 600                        |
| Reserves:                                        |                            |
| General Reserve                                  | 540                        |
| Securities Premium                               | 200                        |
| Profit & Loss                                    | 100                        |
| Revaluation Reserve                              | 30                         |
| Investment Allowance Reserve (Statutory Reserve) | 75                         |
| Infrastructure Development Reserve               | 25                         |
| Loan Funds                                       | 2000                       |

On 1<sup>st</sup> April, 2024 the company wants to buy back 14,000 equity shares of ₹ 10 each at ₹ 30 per Equity share.

You are required to calculate maximum permissible number of equity shares that can be bought back.

Buy Back of shares is duly authorized by its articles and necessary resolution has been passed by the company. **(7 + 7 = 14 Marks)**

4. The following are the summarized Balance Sheets of Well Ltd. and Nice Ltd. as at 31<sup>st</sup> March, 2024 :

|    |    | Particulars            | Notes | Nice Ltd.<br>(₹ in '000) | Well Ltd.<br>(₹ in '000) |
|----|----|------------------------|-------|--------------------------|--------------------------|
| 1. |    | Equity and Liabilities |       |                          |                          |
|    |    | Shareholder's funds    |       |                          |                          |
|    | a. | Share capital          | 1     | 41,000                   | 14,300                   |

\*PS: As per IT Act, 1961 DDT is no more applicable

|    |    |                                |   |        |         |
|----|----|--------------------------------|---|--------|---------|
| 2. | b. | Reserves and Surplus           | 2 | 19,500 | (7,350) |
|    |    | Non-current liabilities        |   |        |         |
| 3. | a. | Long-term borrowings           | 3 | 20,500 | 5,425   |
|    |    | Current Liabilities            |   |        |         |
|    | a. | Trade Payables                 |   | 15,740 | 4,850   |
|    | b. | Short-term Borrowings          |   | -      | 1,975   |
|    |    | Total                          |   | 96,740 | 19,200  |
| 1. |    | Assets                         |   |        |         |
|    |    | Non-current Assets             |   |        |         |
|    | a. | Property, plant, and equipment | 4 | 62,550 | 16,380  |
|    | b. | Non-current Investments        |   | 22,500 | -       |
| 2. |    | Current assets                 |   |        |         |
|    | a. | Inventories                    |   | 300    | 870     |
|    | b. | Trade Receivables              |   | 6,590  | 1,950   |
|    | c. | Cash and Cash equivalents      |   | 4,800  | -       |
|    |    | Total                          |   | 96,740 | 19,200  |

#### Notes to Accounts

|    |                                      | Nice Ltd.<br>(₹ in '000) | Well Ltd.<br>(₹ in '000) |
|----|--------------------------------------|--------------------------|--------------------------|
| 1. | Share Capital                        |                          |                          |
|    | <b>Equity Share Capital</b>          |                          |                          |
|    | Issued, subscribed & paid up capital |                          |                          |
|    | Equity Shares of ₹ 100 each          | 31,500                   | 12,500                   |
|    | <b>Preference Share Capital</b>      |                          |                          |
|    | Issued, subscribed & paid up capital |                          |                          |
|    | 9% Preference Shares of ₹ 100 each   | 9,500                    |                          |
|    | 10% Preference Shares of ₹ 100 each  | <u>          </u>        | <u>1,800</u>             |
|    | Total                                | 41,000                   | 14,300                   |
| 2. | <b>Reserves and Surplus</b>          |                          |                          |
|    | Balance of Profit and Loss A/c       | 19,500                   | (7,350)                  |
| 3. | <b>Long-term borrowings</b>          |                          |                          |
|    | 9% Debentures of ₹ 100 each          | 11,200                   |                          |
|    | 10% Debentures of ₹ 100 each         |                          | 900                      |
|    | Loan from Banks                      | <u>9,300</u>             | <u>4,525</u>             |
|    |                                      | 20,500                   | 5,425                    |

Details of Trade receivables and Trade payables are as under :

|    |                   | Nice Ltd.<br>(₹ in '000) | Well Ltd.<br>(₹ in '000) |
|----|-------------------|--------------------------|--------------------------|
| 1. | Trade receivables |                          |                          |
|    | Debtors           | 6,200                    | 1,800                    |
|    | Bills Receivables | <u>390</u>               | <u>150</u>               |
|    |                   | 6,590                    | 1,950                    |
| 2. | Trade payables    |                          |                          |
|    | Creditors         | 14,750                   | 4,400                    |
|    | Bills Payables    | <u>990</u>               | <u>450</u>               |
|    |                   | 15,740                   | 4,850                    |

On 31.03.2024, Nice Ltd. absorbs the business of Well Ltd. on the following terms:

- For every five equity shares held by the equity shareholders of Well Ltd., they receive three equity shares of Nice Ltd. issued at a premium of ₹ 20 per share.
- The 10% debenture-holders of Well Ltd. were to be allotted such 9% debentures in Nice Ltd. as would bring the same amount of interest.
- 10% Preference Shareholders of Well Ltd. are to be paid at 10% discount by issue of 9% Preference Shares at par in Nice Ltd.
- Banks agreed to waive off the loan of ₹ 270 thousand of Well Ltd.
- Expenses of Liquidation of Well Ltd. are to be reimbursed by Nice Ltd. ₹ 55 thousand.
- Inventory of Well Ltd. is taken over at 10% more than their book value by Nice Ltd.
- Debtors of Nice Ltd. include ₹ 215 thousand receivables from Well Ltd.
- Property, Plant, and Equipment of Well Ltd. are revalued at 20% above their book value.
- The remaining Assets and Liabilities of Well Ltd. are taken over at book value by Nice Ltd.

You are required to :

1. Record Journal Entries in the books of Nice Ltd.
  2. Prepare Balance Sheet of Nice Ltd. after absorption as at 31 March, 2024. **(14 Marks)**
5. On 1<sup>st</sup> February, 2024, Best Ltd. acquired 80% Equity shares of Cool Ltd. for ₹ 14,80,000.

On 31<sup>st</sup> March, 2024, Best Ltd. also acquired 25% Equity shares of Good Ltd. for ₹ 3,80,000.

The following are the balances extracted from the books of Best Ltd., Cool Ltd., and Good Ltd. as on 31<sup>st</sup> March, 2024 :

| Particulars                             | Best Ltd.<br>Amount in ₹ | Cool Ltd.<br>Amount in ₹ | Good Ltd.<br>Amount in ₹ |
|-----------------------------------------|--------------------------|--------------------------|--------------------------|
| Equity Shares of ₹ 100 each fully paid  | 30,00,000                | 20,00,000                | 10,00,000                |
| Securities Premium                      | -                        | 2,20,000                 | -                        |
| 9% Debentures                           | 6,30,000                 | -                        | 2,40,000                 |
| General Reserve                         | 2,69,000                 | 84,000                   | 1,20,000                 |
| Profit & Loss Account (Credit Balance)  | 3,26,000                 | 2,70,000                 | 50,000                   |
| Investments                             | 17,50,000                | 6,10,000                 | -                        |
| Property, Plant, and Equipment          | 18,90,000                | 18,14,000                | 12,10,000                |
| Current Assets                          | 9,65,000                 | 5,60,000                 | 2,25,000                 |
| Trade Payable (Including Bills Payable) | 3,80,000                 | 4,10,000                 | 25,000                   |
| Sales and other income                  | 56,00,000                | 38,00,000                | 27,00,000                |
| Raw material consumed                   | 36,50,000                | 31,20,000                | 22,30,000                |
| Wages and Salaries                      | 5,07,000                 | 4,01,000                 | 2,69,000                 |
| Production expenses                     | 1,35,000                 | 1,06,000                 | 98,000                   |

Additional information :

- The Profit and Loss account of Cool Ltd. showed a credit balance of ₹ 30,000 on 1<sup>st</sup> April, 2023.
- The General Reserve balance is brought forward from the previous year.
- On 31<sup>st</sup> March, 2024, all the bills payable in Cool Ltd.'s balance sheet were acceptances in favour of Best Ltd. However, on the date, Best Ltd. held only ₹ 3,00,000 of these acceptances in hand, the rest having been endorsed in favour of its creditor.
- Best Ltd. purchased goods costing ₹ 5,00,000 from Cool Ltd. on 1<sup>st</sup> June, 2023 at a price of ₹ 6,50,000. The entire goods remain unsold with Best Ltd. at the end of the financial year.
- Best Ltd. is preparing Consolidated Financial Statements for the year ending 31.03.2024.

You are required to calculate :

- (1) Trade Payable (Consolidated)
- (2) Current Assets (Consolidated)
- (3) Minority Interest
- (4) Goodwill/Capital Reserve on the acquisition of Cool Ltd.'s shares
- (5) Goodwill/Capital Reserve on the acquisition of Good Ltd.'s shares

- (6) Profit & Loss Account (Consolidated)
- (7) General Reserve (Consolidated)
- (8) Revenue from Operations (Consolidated)
- (9) Cost of material purchased/consumed (Consolidated)

**(14 Marks)**

6. (a) On 01.04.2023, Mr. Day has 25,000 shares of Squares Ltd. at a book value of ₹ 25 per share (nominal value of ₹ 10 each). Further information is as under:

- (i) On 31<sup>st</sup> July 2023, the Directors of Squares Ltd. issued one equity bonus share for every five shares held by the shareholders.
- (ii) On 30<sup>th</sup> September 2023, the Directors of Squares Ltd. announced a right issue which entitled the holders to subscribe three shares for every two shares at ₹ 20 per share. Shareholders can transfer their rights in full or in part.

Mr. Day sold 1/4<sup>th</sup> of entitlement to Dhvani for a consideration of ₹ 5 per share and subscribed the rest on 5<sup>th</sup> October, 2023.

You are required to prepare Investment A/c in the books of Mr. Day for the year ending 31.03.2024.

OR

- (a) "In determining the cost of inventories, it is appropriate to exclude certain costs and recognise them as expenses in the period in which they are incurred."

Provide examples of such costs as per AS 2 (Revised) 'Valuation of Inventories.

- (b) The following scheme of reconstruction has been approved for Equity shareholders and Debenture holders of TP Ltd.

- (i) The Equity shareholders to receive in lieu of their present holding of 1,50,000 shares of ₹ 10 each, the following :

- (1) For ₹ 50,000, equivalent cash
- (2) For ₹ 9,00,000, 10% debentures issued at premium of 20% (Face value of debenture is ₹ 100 each)
- (3) For balance ₹ 5,50,000, Equity shareholders agreed to accept 50,000 equity shares of ₹ 10 each in full settlement.

- (ii) 8% Debenture ₹ 5,00,000.

Debenture holders agreed to accept Freehold property (Book value ₹ 3,50,000) at a valuation of ₹ 4,45,000 in full settlement of their claim. Pass necessary Journal Entries in the Books of TP Ltd. for the above reconstruction. Narration for Journal entries is not required to be given.

(c) Following is the information of Kullu Branch of M/s Best Enterprises of Shimla for the year ending 31<sup>st</sup> March 2023 :

- (1) Goods are invoiced to the branch at cost plus 20%
- (2) Branch sold goods at invoice price plus 25%.
- (3) Other Information is as follows:
  - (i) Stock (at cost price) as on 1<sup>st</sup> April, 2022 is ₹ 2,25,000
  - (ii) Goods sent by Head office to branch during the year (at cost price) are ₹ 14,85,000
  - (iii) Goods returned by Branch to Head office during the year (at Invoice price) are ₹ 75,000
  - (iv) Sales by the branch during the year ₹ 19,50,000
  - (v) Expenses incurred at Branch ₹ 56,000.

You are required to ascertain the following:

- (a) Profit earned by the Branch by Preparing Trading and profit and loss account for the year ended 31<sup>st</sup> March 2023
- (b) Also find the stock reserve on Closing stock

**(4 + 6 + 6 = 14 Marks)**